

United Foodbrands

Estimate change



TP change



Rating change



Bloomberg	UFBL IN
Equity Shares (m)	39
M.Cap.(INRb)/(USD\$)	28.7 / 0.3
52-Week Range (INR)	763 / 171
1, 6, 12 Rel. Per (%)	3/204/176
12M Avg Val (INR M)	81

Financials & Valuations (INR b)

Y/E March	FY26	FY27E	FY28E
Sales	13.4	16.8	18.9
Sales Gr. (%)	8.6	25.4	12.6
EBITDA	2.1	2.8	3.1
Margins (%)	15.4	16.5	16.5
Adj. PAT	-0.5	0.0	0.1
Adj. EPS (INR)	-12.4	0.3	3.0
EPS Gr. (%)	N/M	L/P	948.0
BV/Sh. (INR)	79.4	79.7	82.7

Ratios

RoE (%)	-15.6	0.4	3.6
RoCE (%)	2.4	6.0	7.0

Valuation

P/E (x)	N/M	N/M	244.9
EV/EBITDA (x)	14.4	10.5	9.2
Pre-IND AS EV/EBITDA (x)	40.8	22.7	18.4

Shareholding Pattern (%)

As On	Jun-26	Mar-26	Jun-25
Promoter	34.6	34.6	33.7
DII	17.2	16.7	19.9
FII	10.6	9.7	10.2
Others	37.6	39.0	36.2

FII includes depository receipts

CMP: INR735

TP: INR755 (+5%)

Neutral

SSSG remains strong; operating leverage kicks in

- United Foodbrands (UFBL) reported another strong quarter, with consolidated revenue growing 43% YoY to INR4.3b (beat), led by 28.7% SSSG (est. 16%, 14.4% in 4QFY26). Revenue growth was volume-led as the company refrained from price hikes. Dine-in revenue increased 40% YoY (+63.5% volume), while delivery revenue grew 62% YoY. BBQ India's revenue rose 43% YoY to INR3.3b, driven by 33.5% SSSG and 68.6% dine-in transaction growth. BBQ India added three stores during the quarter, taking the network to 210 stores.
- BBQ International's revenue increased 46% YoY to INR385m, supported by 8.5% SSSG, while Premium CDR revenue grew 36% YoY to INR587m, supported by 13.6% SSSG. The company added one international restaurant, while the Premium CDR portfolio remained at 42 stores. Management reiterated its target of reaching 300 restaurants by FY27-end, while increasing the long-term opportunity for the BBQ brand to 600 restaurants (vs. earlier 400-450).
- GM contracted 200bp YoY to 64.1% for BBQ India due to continued value investments, while RoM (Pre-Ind AS) expanded 490bp YoY to 14.5% on strong operating leverage. RoM expanded 117% YoY.
- Consolidated GM contracted 190bp YoY to 65.8%, primarily due to value-led investments in India and commodity inflation in international markets. However, Pre-Ind AS EBITDA margin expanded 350bp YoY to 8.1%, supported by operating leverage. Reported EBITDA increased 52% YoY to INR699m, with EBITDA margin expanding 90bp YoY to 16.4% despite continued investments to drive transaction growth.
- Management remains focused on driving volume-led growth, with no price hikes planned. Margins are expected to improve gradually through operating leverage and procurement efficiencies. While the strong 1Q performance demonstrates the success of its structural initiatives, 2HFY27 is expected to witness SSSG moderation due to a higher base. We believe sustaining robust volume growth while simultaneously delivering meaningful margin expansion will remain challenging, particularly amid continued investments in value offerings and store expansion. We model EBITDA Pre-Ind AS margin of 7.6% for FY27 and 8.2% for FY28. Given volatile execution in the past, we reiterate our Neutral rating with a TP of INR775.

Strong performance; SSSG up 29%

- Robust revenue growth:** Consolidated sales grew 43% YoY to INR4.3b (est. INR3.6b) in 1QFY27, led by strong growth across dine-in and delivery channels. Same-store sales grew 28.7% (est. 16%) on a base of -3.4%, driven entirely by transaction growth with no price hikes. The dine-in channel (83% of sales) grew 40% YoY to INR3.5b, while delivery (17% of sales) increased 62% YoY to INR0.7b.

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- **Improving digital KPIs:** Cumulative app downloads increased to 9.7m in 1QFY27 from 7.9m in 1QFY26. Own digital assets contributed 65.1% to transactions versus 30.8% in 1QFY26, while monthly active users crossed 1.4m (+60% YoY), reflecting continued improvement in customer engagement and repeat visits.
- **Store addition target of 300 stores by FY27 intact:** The company added four new restaurants, taking the network to 266 restaurants. The portfolio comprises 210 Barbeque Nation India, 14 international Barbeque Nation, and 42 Toscano & Salt outlets. Metro/Tier-1 cities account for 211 stores, while Tier-2/3 cities contribute 55 stores. Management reiterated its target of reaching 300 restaurants by FY27-end, supported by a pipeline of 15 stores currently under construction. Encouraged by the strong acceptance of its 'Big Buffet' format in smaller markets, management has also increased the long-term addressable opportunity for the Barbeque Nation India brand to 600 restaurants, up from its earlier estimate of 400-450.
- **Margin contraction seen:** Consolidated gross margin contracted 190bp YoY to 65.8% (est. 66.8%) amid continued value investments and commodity inflation in international markets. However, EBITDA increased 52% YoY to INR699m (est. INR640m), with EBITDA margin expanding 90bp YoY to 16.4% (est. 17.6%), driven by operating leverage. Pre-Ind AS EBITDA surged 150% YoY to INR343m, with margin expanding 350bp YoY to 8.1%. RoM Pre-Ind As rose 82% YoY (base 19% decline), while margin expanded 310bp YoY to 14.6%.

Highlights from the management commentary

- Management cautioned that reported SSSG will likely neutralize or moderate as the year progresses. This will be due to high base, rather than a dip in actual demand.
- It expects its GM to expand directionally from its current levels over time.
- There are 15 restaurants currently under construction, which are scheduled to operationalize during 2Q and 3Q in FY27. The company remains on track to cross 300 restaurants by FY27.
- Management increased its long-term outlook for the Barbeque Nation India brand specifically, estimating a potential for 600 restaurants (up from the previous guidance of 450) due to the success of the 'Big Buffet' format in smaller markets.
- The company has guided for a total FY27 capex of INR1.4b, with INR1.2b allocated to new store expansion and INR0.2b to maintenance and refurbishments.

Valuation and view

- We raise our EBITDA estimates by ~4% for FY27 and FY28 on better delivery of revenue in 1QFY27.
- Management remains focused on driving volume-led growth, with no price hikes planned. Margins are expected to improve gradually through operating leverage and procurement efficiencies. While the strong 1Q performance demonstrates the success of its structural initiatives, 2HFY27 is likely to witness SSSG moderation due to a higher base. We believe sustaining robust volume growth while simultaneously delivering meaningful margin expansion will remain challenging, particularly amid continued investments in value offerings and store expansion. We model EBITDA Pre-Ind AS margin of 7.6% for FY27 and 8.2% for FY28. Given volatile execution in the past, we reiterate our Neutral rating with a TP of INR775 (20x Mar'28E Pre-Ind AS EV/EBITDA).

Cons. Quarterly Performance

(INR m)

Y/E March	FY26				FY27E				FY26	FY27E	FY27	Var.
	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE			1QE	(%)
SSSG (%)	-3.4	-2.2	8.2	14.4	28.7	24.0	10.0	5.3	4.7	17.0	16.0	
No. of stores	236	241	249	262	266	272	278	287	262	287	268	
Net Sales	2,970	3,048	3,766	3,604	4,259	4,089	4,403	4,037	13,387	16,788	3,637	17.1
YoY change (%)	-2.8	-0.3	14.5	23.1	43.4	34.2	16.9	12.0	8.6	25.4	22.5	
Gross Profit	2,010	2,019	2,499	2,361	2,802	2,740	2,937	2,719	8,889	11,197	2,430	15.3
Margin (%)	67.7	66.2	66.4	65.5	65.8	67.0	66.7	67.3	66.4	66.7	66.8	
EBITDA	460	377	682	544	699	638	797	637	2,064	2,770	640	9.1
EBITDA growth %	-9.6	-17.2	10.9	2.1	51.8	69.0	16.8	17.0	-2.3	34.2	39.1	
Margin (%)	15.5	12.4	18.1	15.1	16.4	15.6	18.1	15.8	15.4	16.5	17.6	
Depreciation	449	483	482	486	457	490	495	533	1,900	1,975	490	
Interest	200	207	227	226	229	235	250	245	860	960	210	
Other Income	19	81	17	31	12	85	40	43	148	180	50	
PBT	-170	-232	-10	-138	24	-2	92	-99	-549	15	-10	
Tax	-3	-7	-67	13	1	0	0	0	-64	4	0	
Rate (%)	1.8	2.8	692.6	-9.6	5.2	0.0	0.0	0.0	11.6	25.2	0.0	
Adjusted PAT	-167	-225	57	-151	23	-2	92	-99	-485	11	-10	
YoY change (%)	N/M	N/M	13.4	N/M	N/M	N/M	N/M	N/M	N/M	N/M	N/M	

E: MOFSL Estimates

BBQ India

- Revenue rose 43% YoY to INR3.3b, led by growth across dine-in and delivery. Same store sales grew by 33.5%.
- BBQ India added net 3 stores to 210 in 1QFY27.
- GP margin contracted 200bp YoY to 64.1%. GP rose 39% YoY.
- RoM (Pre-Ind AS) margin expanded by 490bp YoY to 14.5%. RoM expanded 117% YoY, led by operating leverage.

BBQ International

- Revenue rose 46% YoY to INR385m. Same store sales increased 8.5%.
- BBQ International added 1 store during the quarter. Total store count was 14 stores.
- GP margin contracted 300bp YoY to 69.6%. GP rose 40% YoY.
- RoM (Pre-Ind AS) margin contracted 370bp YoY to 18.7%. RoM up 22% YoY.

Premium CDR

- Revenue rose 36% YoY to INR587m. Same store sales increased 13.6%.
- Premium CDR remained flat QoQ at 42 stores during the quarter.
- GP margin contracted 10bp YoY to 73.4%. GP rose 36% YoY.
- RoM (Pre-Ind AS) margin contracted 350bp YoY to 10.9%. RoM contracted 3% YoY to INR64m.

Exhibit 1: BBQN's business segment performance – key metrics

BBQ Consolidated	1QFY26	2QFY26	3QFY26	4QFY26	1QFY27
Revenue (INR m)	2,970	3,048	3,766	3,604	4,259
YoY growth (%)	-3%	0%	14%	23%	43%
SSSG (%)	-3.4	-2.2	8.2	14.4	28.7
Stores	236	241	249	262	266
Store addition	6	5	8	13	4
YoY store addition (%)	8%	9%	10%	14%	13%
Annualised revenue/ outlet (INR/mn)	54	54	54	54	54
GP (INR m)	2,010	2,019	2,499	2,361	2,802
GP margin (%)	67.7%	66.2%	66.4%	65.5%	65.8%
ROM (pre -Ind AS) (INR m)	342	250	590	454	621
ROM (%)	11.5%	8.2%	15.7%	12.6%	14.6%
YoY growth (%)	-19%	-34%	9%	23%	82%
EBITDA (pre -Ind AS) (INR m)	136	33	361	199	343
EBITDA pre-Ind AS margin (%)	4.6%	1.1%	9.6%	5.5%	8.1%
YoY growth (%)	-36%	-80%	6%	5%	152%
EBITDA (INR m)	460	377	682	544	699
EBITDA margin (%)	-9.6%	-17.2%	10.9%	2.1%	51.8%
YoY growth (%)	15%	12%	18%	15%	16%
BBQ India	1QFY26	2QFY26	3QFY26	4QFY26	1QFY27
Revenue (INR m)	2,289	2,300	2,883	2,782	3,284
YoY growth (%)	-7%	-6%	10%	22%	43%
SSSG (%)	-5.2	-4.3	8.3	16.7	33.5
Stores	193	195	199	207	210
Store addition	2	2	4	8	3
YoY store addition (%)	4%	4%	5%	8%	9%
Annualised revenue/ outlet (INR/mn)	50	50	61	58	65
GP (INR m)	1,513	1,479	1,851	1,747	2,104
GP margin (%)	66.1%	64.3%	64.2%	62.8%	64.1%
ROM (pre -Ind AS) (INR m)	220	140	422	323	477
ROM (%)	9.6%	6.1%	14.6%	11.6%	14.5%
YoY growth (%)	-24.9%	-48.0%	8.5%	39.8%	116.8%
BBQ International	1QFY26	2QFY26	3QFY26	4QFY26	1QFY27
Revenue	263	276	372	336	385
YoY growth (%)	10%	27%	47%	27%	46%
SSSG (%)	8.5	8.4	5.8	5.5	8.5
Stores	11	12	12	13	14
Store addition	2	1	0	1	1
Annualised revenue/ outlet (INR/mn)	105	105	123	122	119
GP (INR m)	191	200	277	237	268
GP margin (%)	72.6%	72.5%	74.5%	70.5%	69.6%
ROM (pre -Ind AS) (INR m)	59	49	86	82	72
ROM (%)	22.4%	17.8%	23.1%	24.4%	18.7%
YoY growth (%)	-2%	11%	30%	5%	22%
BBQ Premium CDR	1QFY26	2QFY26	3QFY26	4QFY26	1QFY27
Revenue	431	473	517	489	587
YoY growth (%)	19%	17%	20%	23%	36%
SSSG (%)	-1.6	5.3	9.4	7	13.6
Stores	32	34	38	42	42
Store addition	2	2	4	4	0
YoY store addition (%)	28%	26%	36%	40%	31%
Annualised revenue/ outlet (INR/mn)	57	60	64	56	59
GP (INR m)	317	345	378	357	431
GP margin (%)	73.5%	72.9%	73.1%	73.0%	73.4%
ROM (pre -Ind AS) (INR m)	62	62	78	46	64
ROM (%)	14.4%	13.1%	15.1%	9.4%	10.9%
YoY growth (%)	-9%	-6%	-10%	-22%	3%

Source: Company, MOFSL



Key takeaways from the management commentary

Demand environment and performance

- Management emphasized that the current momentum is not an isolated spike but a result of structural improvements across every business segment, channel (dining and delivery), and geography.
- Consolidated same-store sales growth (SSSG) stood at 28.7% in 1QFY27, which was layered on top of the 14.4% growth seen in the previous quarter, indicating a compounding effect of their strategic initiatives.
- **The reported revenue growth was entirely driven by increased volumes rather than price hikes. The company has deliberately avoided price increases since 2QFY26 to prioritize customer acquisition and transaction growth.**
- Consolidated dine-in transaction volumes rose 63.5% YoY, with revenue growth of 40.3% YoY, while delivery business grew ~62% YoY.
- India dine-in volumes grew 68.6%, international dine-in volumes rose 45.2%, while premium dine-in volumes increased 39.6%.
- Delivery revenue posted 62% YoY growth, which was entirely led by transaction growth.
- Structural initiatives undertaken in FY26 accelerated growth in 1QFY27, leading to the highest-ever walk-ins.
- A critical feature of its demand architecture is that 90% of dining volumes come through 'captive' channels, i.e. the company's own app, website, call center, and walk-ins. This reduces dependence on third-party aggregators for dining traffic.
- Guest engagement, repeat visit frequency, and new customer acquisitions continued to improve during the quarter.
- The company reiterated that its transition into a multi-brand food services platform is now visibly reflecting in performance.
- The digital platform now has 1.4m monthly active users (a 60% YoY increase). These captive digital assets now contribute to 65% of all Barbeque Nation India transactions, allowing the company to better target specific day-parts (like weekday lunches) with value offers.

BBQ India

- Barbeque Nation India reported SSSG of 33.5% in 1QFY27, driven by robust transaction growth.
- Dine-in transaction volumes grew 68.6% YoY.
- The company witnessed strong traction in both new customer additions and repeat transactions.
- Over 65% BBQ India dine-in transaction is routed through own digital channels (vs 60.1% in Q4FY26).
- Monthly active users across the company's app and website crossed 1.4m, growing 59.6% YoY.

International business

- International revenue grew 46.6% YoY during the quarter.
- Same-store sales growth for the international business stood at 8.5%.
- International restaurant operating margins (ROM) were slightly softer at 18.7% due to extreme food inflation, with some commodity prices rising by 30-40%.
- Despite these temporary margin headwinds, the international business continues to maintain the strongest unit economics in the entire UFBL portfolio.
- Management emphasized that its primary focus remains on driving volume growth in the international segment, believing that the resulting scale will eventually offset inflationary impacts.
- The company added one international restaurant in 1QFY27.

Premium dining segment (CDR)

- Premium segment revenue grew 36.2% YoY in 1QFY27.
- Same-store sales growth stood at 13.6%, driven by transaction growth.
- Matured restaurants continue to deliver stronger Pre-IND AS restaurant operating margin of 20%
- The company added one premium restaurant in 1QFY27 while also closing one premium restaurant.
- Management stated that new CDR outlets in competitive territories like Mumbai and Delhi typically take 18 to 24 months to reach full maturity, compared to faster maturation in South Indian markets.

Store expansion

- The company had 266 restaurants in 1QFY27.
- It added 5 new restaurants in 1QFY27 and closed 1 restaurant during 1Q.
- There are 15 restaurants currently under construction, which are scheduled to operationalize during 2Q and 3Q of FY27.
- The company remains on track to cross 300 restaurants by FY27.
- Management increased its long-term outlook for the Barbeque Nation India brand specifically, estimating a potential for 600 restaurants (up from previous guidance of 450) due to the success of the 'Big Buffet' format in smaller markets.
- The expansion trajectory remains disciplined and continues to be funded largely through internal accruals.

Cost and margins

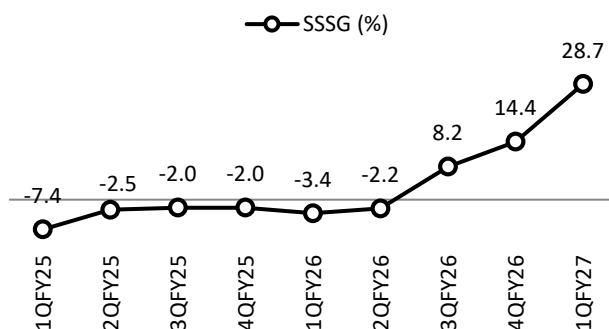
- Gross margin contracted 190bp YoY to 65.8%.
- In India, gross margin expanded 130bp QoQ. This recovery is attributed to procurement efficiencies and scale benefits that are beginning to offset the initial costs of value-focused investments made to drive volume.
- Management expects its GM to expand directionally from its current levels over time.
- Pre-Ind AS adjusted operating EBITDA margin expanded to 8.1%, up from 5.5% in the previous quarter, largely due to operating leverage, as fixed costs were spread over much higher revenue.
- As the business scales, backend costs (culinary, marketing, and tech teams) as a percentage of sales reduced from 7.1% to 6.5% sequentially, demonstrating efficient corporate overhead management.
- Management emphasized that it will not prioritize margin expansion at the expense of volume growth, as it believes absolute profitability is maximized by maintaining strong transaction momentum.

Guidance

- Management cautioned that reported SSSG will likely neutralize or moderate as the year progresses. This will be more of a mathematical consequence of lapping the very strong performance benchmarks set in the latter half of the previous year, rather than a dip in actual demand.
- The company guided for a total FY27 capex of INR1.4b, with INR1.2b for new store expansion and INR0.2b for maintenance and refurbishments.
- Growth is expected to remain volume-led rather than pricing-led.
- The company believes the customer acquisition engine built during 2HFY26 will continue to support growth in FY27.

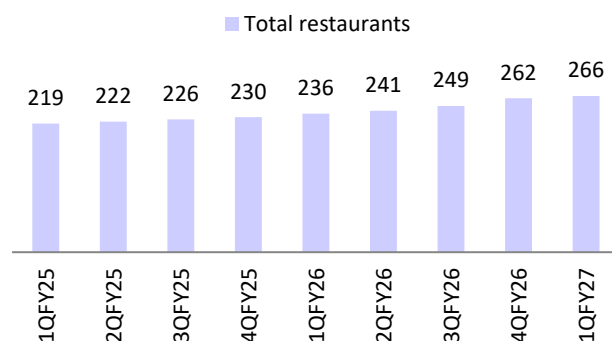
Key Exhibits

Exhibit 2: SSSG rose 28.7% YoY in 1QFY27



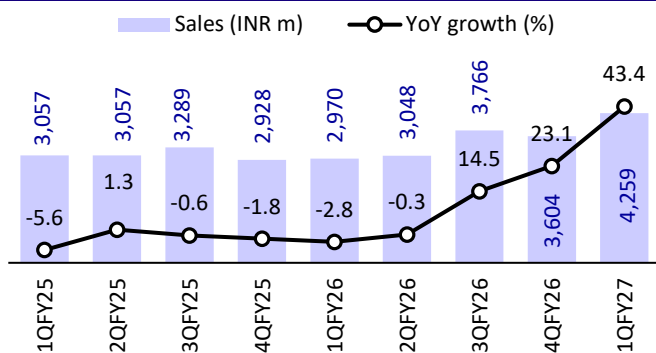
Source: Company, MOFSL

Exhibit 3: Added four net stores in 1QFY27



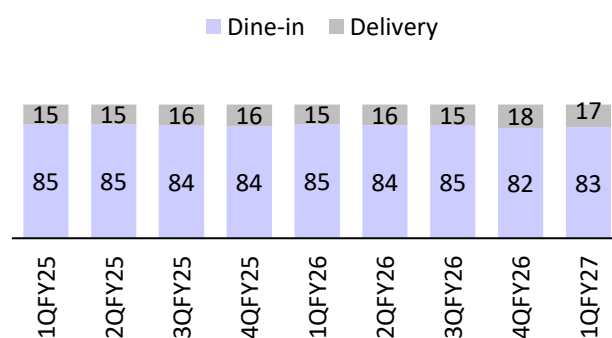
Source: Company, MOFSL

Exhibit 4: Net sales rose 43% YoY to INR4.3b in 1QFY27



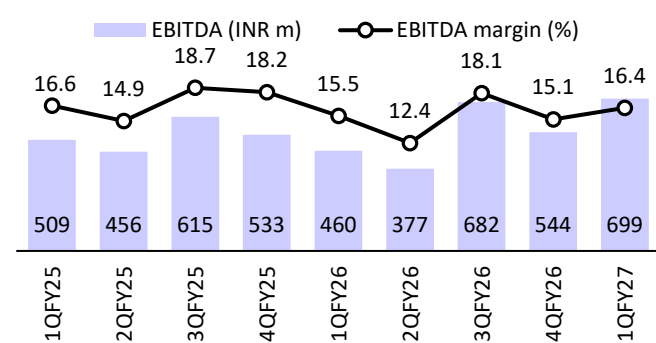
Source: Company, MOFSL

Exhibit 5: Dine-in contribution stood at 83% in 1QFY27



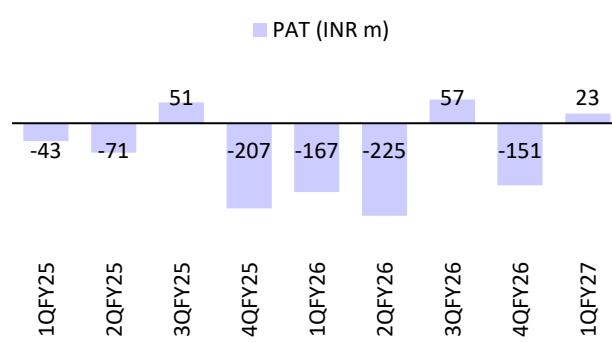
Source: Company, MOFSL

Exhibit 6: EBITDA margin expanded 90bp YoY to 16.4%



Source: Company, MOFSL

Exhibit 7: Adjusted PAT came in at INR23m



Source: Company, MOFSL

Valuation and view

- We raise our EBITDA estimates by ~4% for FY27 and FY28 on better delivery of revenue in 1QFY27.
- Management remains focused on driving volume-led growth, with no price hikes planned. Margins are expected to expand gradually through operating leverage and procurement efficiencies. While the strong 1Q performance demonstrates the success of its structural initiatives, 2H FY27 is likely to see SSSG moderation due to a higher base. We believe sustaining robust volume growth while simultaneously delivering meaningful margin expansion will remain challenging, particularly amid continued investments in value offerings and store expansion. We model EBITDA Pre-Ind AS margin of 7.6% for FY27 and 8.2% for FY28. Given volatile execution in the past, we reiterate our Neutral rating with a TP of INR775 (**20x Mar'28E Pre-Ind AS EV/EBITDA**).

Exhibit 8: We raise our EBITDA estimates by 4% for FY27 and FY28

Particulars	New		Old		Change (%)	
	FY27E	FY28E	FY27E	FY28E	FY27E	FY28E
Sales	16,788	18,895	15,535	16,993	8.1%	11.2%
EBITDA	2,770	3,108	2,672	2,982	3.7%	4.2%
PAT	11	117	-193	-87	NA	NA

Source: Company, MOFSL

Financials and valuations

Income Statement								(INR m)	
Y/E March	2020	2021	2022	2023	2024	2025	2026	2027E	2028E
Net Sales	8,470	5,071	8,606	12,338	12,545	12,330	13,387	16,788	18,895
Change (%)	14.6	-40.1	69.7	43.4	1.7	-1.7	8.6	25.4	12.6
Material Consumed	2,922	1,782	3,047	4,152	4,184	3,919	4,498	5,590	6,235
Gross Profit	5,548	3,288	5,558	8,186	8,361	8,412	8,889	11,197	12,660
Gross Margin %	65.5	64.8	64.6	66.3	66.6	68.2	66.4	66.7	67.0
Operating expenses	3,906	2,825	4,221	5,880	6,239	6,299	6,825	8,427	9,551
EBITDA	1,642	464	1,337	2,306	2,122	2,113	2,064	2,770	3,108
Change (%)	12.6	-71.8	188.3	72.4	-8.0	-0.4	-2.3	34.2	12.2
Margin (%)	19.4	9.1	15.5	18.7	16.9	17.1	15.4	16.5	16.5
Depreciation	1,340	1,212	1,273	1,450	1,679	1,765	1,900	1,975	2,130
Int. and Fin. Ch.	756	849	653	717	759	779	860	960	1,001
Other Non-recurring Inc.	38	460	263	80	176	158	148	180	180
PBT	-415	-1,136	-326	219	-140	-272	-549	15	157
Change (%)	P/L	-	-	L/P	-164.0	-	-	L/P	948.0
Margin (%)	-4.9	-22.4	-3.8	1.8	-1.1	-2.2	-4.1	0.1	0.8
Tax	78	-197	-69	66	-28	-1	-64	4	40
Tax Rate (%)	-18.8	17.3	21.1	30.1	20.3	0.5	11.6	25.2	25.2
Adjusted PAT	-493	-940	-257	153	-112	-271	-485	11	117
Change (%)	-	-	-	L/P	-172.9	-	-	L/P	948.0
Margin (%)	-5.8	-18.5	-3.0	1.2	-0.9	-2.2	-3.6	0.1	0.6
Non-rec. (Exp)/Inc.	164	21	5	38	0	1	0	0	0
Minority interest	-5	-14	4	21	22	7	-27	0	0
Reported PAT	-324	-905	-256	170	-134	-278	-459	11	117

Balance Sheet								(INR m)	
Y/E March	2020	2021	2022	2023	2024	2025	2026	2027E	2028E
Share Capital	140	170	195	195	195	195	195	195	195
Reserves	-81	2,269	3,665	3,816	3,734	3,431	2,908	2,919	3,036
Net Worth	59	2,439	3,860	4,011	3,930	3,627	3,103	3,114	3,232
Loans	2,450	1,528	218	196	397	695	1,344	1,344	1,344
Lease Liabilities	4,816	4,498	5,887	6,649	6,459	6,880	7,508	7,563	8,003
Others	52	38	93	82	110	82	113	110	110
Capital Employed	7,377	8,503	10,057	10,939	10,896	11,284	12,069	12,132	12,689
Gross Block	11,910	12,049	14,411	16,749	18,098	20,510	22,866	24,732	26,600
Less: Accum. Depn.	4,507	5,456	6,410	7,356	9,035	10,800	12,258	14,675	16,805
Net Fixed Assets	7,404	6,593	8,000	9,393	9,460	9,710	10,608	10,057	9,794
RTU	4,015	3,617	4,878	5,556	5,334	5,685	6,170	5,013	4,850
Capital WIP	109	60	212	273	47	140	136	136	136
Goodwill	723	723	723	723	897	897	1,000	1,000	1,000
Investments	0	0	0	0	0	121	0	0	0
Deferred tax assets	0	0	0	0	0	0	0	0	0
Curr. Assets, L&A	1,319	4,002	2,478	2,200	2,368	2,272	2,629	3,396	4,279
Inventory	149	202	358	421	387	471	437	506	569
Account Receivables	22	26	57	74	267	311	335	414	518
Cash and Bank Balance	147	2,455	853	426	360	171	277	864	1,547
Others	1,001	1,319	1,210	1,280	1,355	1,319	1,581	1,613	1,645
Curr. Liab. and Prov.	2,167	2,855	1,356	1,647	1,783	1,765	2,291	2,444	2,507
Other Current Liabilities	894	1,237	199	227	390	425	559	576	593
Creditors	1,125	1,468	988	1,235	1,181	1,105	1,392	1,518	1,553
Provisions	148	150	168	185	212	235	340	350	361
Net Curr. Assets	-848	1,147	1,122	553	586	507	339	952	1,772
Current tax liabilities	-11	-20	0	-4	-94	-92	-14	-14	-14
Appl. of Funds	7,377	8,503	10,057	10,939	10,896	11,283	12,069	12,132	12,689

E: MOFSL Estimates

Financials and valuations

Ratios

Y/E March	2020	2021	2022	2023	2024	2025	2026	2027E	2028E
Basic (INR)									
EPS	-17.6	-27.7	-6.6	3.9	-2.9	-6.9	-12.4	0.3	3.0
BV/Share	2.1	71.9	99.2	102.9	100.6	92.8	79.4	79.7	82.7
DPS	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Valuation (x)									
P/E	N/M	N/M	N/M	187.0	N/M	N/M	N/M	2,566.3	244.9
EV/Sales	3.3	5.6	3.9	2.8	2.8	2.4	2.2	1.7	1.5
EV/EBITDA	16.9	61.5	25.3	15.2	16.6	13.8	14.4	10.5	9.2
EV/EBITDA (Pre Ind AS)	41.5	-309.0	93.1	24.0	34.3	32.0	40.8	22.7	18.4
P/BV	347.8	10.2	7.4	7.1	7.3	7.9	9.3	9.2	8.9
Dividend Yield (%)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Return Ratios (%)									
RoE	-833.5	-38.5	-6.7	3.8	-2.8	-7.5	-15.6	0.4	3.6
RoCE	5.6	-3.0	2.8	6.2	4.5	4.5	2.4	6.0	7.0
RoIC	5.2	-9.4	0.7	6.2	3.4	3.2	1.3	5.2	6.6
Working Capital Ratios									
Debtor (Days)	1	2	2	2	8	9	9	9	10
Inventory (Days)	6	15	15	12	11	14	12	11	11
Creditor (Days)	48	106	42	37	34	33	38	33	30
Asset Turnover (x)	1.1	0.6	0.9	1.1	1.2	1.1	1.1	1.4	1.5
Leverage Ratio									
Debt/Equity (x)	41.4	0.6	0.1	0.0	0.1	0.2	0.4	0.4	0.4

Cash Flow Statement

(INR m)

Y/E March	2020	2021	2022	2023	2024	2025	2026	2027E	2028E
OP/(loss) before Tax	-251	-1,115	-321	257	-140	-272	-683	15	157
Int./Div. Received	-149	-412	-137	28	7	4	-51	-180	-180
Depreciation & Amort.	1,340	1,212	1,273	1,450	1,679	1,765	1,900	1,975	2,130
Interest Paid	-659	-739	-500	-559	-597	-655	-721	-960	-1,001
Direct Taxes Paid	78	-12	31	57	-29	32	72	4	40
Inc/(Dec) in WC	-291	-244	686	-38	-35	187	-414	27	136
CF from Operations	1,811	679	598	2,276	2,206	1,934	2,230	2,740	2,932
Extraordinary Items	0	0	0	0	0	0	0	0	0
Inc/(Dec) in FA	-840	-143	-932	-1,459	-874	-810	-1,286	-866	-868
Free Cash Flow	971	536	-334	817	1,331	1,123	943	1,873	2,065
Others	-678	71	30	-59	-185	-89	7	180	180
Pur of Investments	0	0	0	0	0	0	0	0	0
CF from Invest.	-1,518	-72	-902	-1,518	-1,059	-899	-1,280	-686	-688
Issue of Shares	1	1,495	1,844	15	22	2	2	0	0
Incr in Debt	876	73	-1,310	-22	177	297	649	0	0
Dividend Paid	-34	0	0	0	0	0	0	0	0
Others	-1,109	133	-1,832	-1,179	-1,410	-1,525	-1,514	-1,489	-1,561
CF from Fin. Activity	-265	1,700	-1,298	-1,186	-1,211	-1,226	-863	-1,489	-1,561
Bank balance						2	21	20.74	0
Incr/Decr of Cash	27	2,308	-1,602	-428	-65	-191	87	564	683
Add: Opening Balance	120	147	2,455	853	426	361	171	279	863
Closing Balance	147	2,455	853	426	361	171	279	863	1,547

E: MOFSL Estimates

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SELL	$< -10\%$
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